

Strategic Signaling in Used Goods Markets: Does the **Reason for Selling** Matter?



CHAPTER 1

Research Question

“ Does the seller’s reason for selling
(product dissatisfaction vs. other reasons)
influence buyer interest? ”

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- 01 Understanding this relationship clarifies market operations, fostering more efficient transactions.
 - 02 It can also provide practical insights for sellers on how to present their products more effectively.



CHAPTER 2

Preliminary Design Details

01 Treatments (2^3 Factorial Design)

Factor A (Reason for Selling): Product Dissatisfaction vs. Financial Reasons

Factor B (Price Range): Low Price (< 20K KRW) vs. High Price (> 100K KRW)

Factor C (Platform): Joonggonara vs. Bunjang

Final Treatments: Every possible combination of these levels

02 Response

$$\text{Interest Rate} = \frac{(\text{Number of Inquiry Chats} + 0.3 \times \text{Number of Likes})}{\text{Total Views}}$$

03 Experimental Units

Individual Sales Post



CHAPTER 3

Feasibility

01

Materials & Equipment

┃ Accounts & Posts

-> Using Experimenters' items
(Items are not actually for sale;
it's a fake sales post)

02

Tools and Methodology

┃ Products

-> Create a new naver account for
Joongonara
-> Use a nearly-unused account
for Bunjang

03

Challenges & Solutions

-> Try eliminating confounding
variables in posts
e.g. Avoid revealing personal
information, control a proportion of
descriptive words in the text



CHAPTER 3

Feasibility

01
Materials & Equipment

I Tools

-> R Studio

02
Tools and Methodology

I Methodology

->Blocking

Prepare 4 items $\Rightarrow a \doteq b / c \doteq d$

Upload **item a on J** and **item c on B**

on the 1st day of an experiment

Upload **item b on J** and **item d on B**

on the 2nd day of an experiment

Later weeks, **switch the sequence** and repeat the same procedure

03
Challenges & Solutions

Week 1

item A / item C



item B / item D

Week 2

item C / item A



item D / item B



CHAPTER 3

Feasibility

01

Materials & Equipment

┃ Possible Challenge

-> Insufficient engagement

02

Tools and Methodology

┃ Solution

-> Upload a post with discounted price
(Probably 10-20% discount)

-> Consider uploading additional posts

03

Challenges & Solutions



CHAPTER 4

Estimated Timeline

01	Week 9	Project proposal & Accepting feedback
02	Week 10 - 11	Upload sales posts of set of items
02	Week 12	Project Progress Report & Upload additional sales posts if needed
02	Week 13	Analyze the data & Draw a conclusion
02	Week 15 - 16	Final presentations & Final report



Thank You

Q & A